
Procurement Agreement

between

GlobalTrade Logistics Inc.

and

Meridian Supply Partners LP

Agreement No. MSP-PA-2024-009

Effective Date: January 8, 2024

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1. Parties

This Procurement Agreement (the "Agreement") is entered into as of January 8, 2024 (the "Effective Date") by and between **GlobalTrade Logistics Inc.**, a Delaware corporation with its principal place of business at 400 Harborview Plaza, Suite 1200, Wilmington, Delaware, USA ("GlobalTrade", the "Buyer"), and **Meridian Supply Partners LP**, a Texas limited partnership, with its principal place of business at 1500 Gulfport Commerce Drive, Houston, Texas, USA ("Meridian", the "Supplier"). GlobalTrade and Meridian are each a "Party" and together the "Parties". This Agreement supersedes all prior agreements, proposals, term sheets, and letters of intent between the Parties relating to its subject matter.

2. Definitions

For the purposes of this Agreement, the following capitalized terms have the meanings set out below. Other capitalized terms are defined where they first appear.

1. **"Business Day"** means any day other than a Saturday, Sunday, or public holiday in the jurisdiction of the delivery destination.
2. **"Scheduled Delivery Date"** means for each purchase order line, the delivery date stated on the released PO, which shall respect the lead times fixed in Schedule A.
3. **"Late Delivery"** means any PO line received at the named destination after its Scheduled Delivery Date, measured in commenced Late Weeks for penalty purposes under Section 6.
4. **"On-Time Delivery Rate"** means, for any calendar month, the number of PO lines delivered on or before their Scheduled Delivery Date divided by the total number of PO lines due for delivery in that period, expressed as a percentage and rounded to one decimal place.
5. **"PO Value"** means the extended price of a purchase order line (unit price multiplied by ordered quantity) as stated on the released PO, exclusive of taxes and freight.
6. **"Service Levels"** means the performance commitments set out in Section 5 of this Agreement.
7. **"Confidential Information"** means all non-public business, technical, pricing, volume, and operational information disclosed by one Party to the other, whether marked confidential or not, that a reasonable person would understand to be confidential.
8. **"Late Week"** means any period of seven (7) calendar days, or part thereof, beginning the day after the Scheduled Delivery Date and ending on actual receipt.
9. **"OTIF"** means on-time-in-full: a PO line delivered on or before its Scheduled Delivery Date and complete in ordered quantity.
10. **"Epidemic Failure"** has the meaning given in Section 5.3.

3. Scope of Supply

The Supplier shall manufacture, sell, and deliver to the Buyer the products listed in Schedule A (the "Products"), comprising corrugated and protective packaging materials, maintenance/repair/operations (MRO) consumables, and finished-goods components, for delivery to the Buyer's distribution centers in the USCA and LATAM markets as designated on each purchase order ("PO"). The Buyer shall provide non-binding twelve-month rolling forecasts updated monthly; only released POs constitute binding commitments. The Supplier shall hold safety stock equal to four (4) weeks of forecast demand for the A-class SKUs identified in Schedule A. Each PO states the quantities, Products, delivery location, and the Scheduled Delivery Date, which shall be no earlier than the lead times in Schedule A. Title and risk transfer on delivery DDP (Incoterms 2020) at the named destination.

4. Term

This Agreement commences on the Effective Date and continues for an initial term of three (3) years (the "Initial Term"). Upon expiry of the Initial Term, this Agreement automatically renews for successive one (1)-year renewal periods (each a "Renewal Term") unless either Party gives written notice of non-renewal at least ninety (90) days before the end of the then-current term. Rates and Service Levels remain fixed during the Initial Term; thereafter, either Party may request one rate review per Renewal Term, provided that any adjustment exceeding 4% per annum requires mutual written agreement supported by a documented cost index. Sections 2, 6 (with respect to accrued penalties and credits), 8, 11, and the confidentiality obligations survive expiry or termination of this Agreement for a period of three (3) years.

5. Service Levels

5.1 Service Level Framework

The Supplier's delivery and quality performance is measured monthly across all POs delivered in the calendar month, using the Buyer's goods-receipt records as the system of record, reconciled with the Supplier's advance shipping notices.

5.2 On-Time Delivery Commitment

The Supplier commits to an On-Time Delivery Rate of at least **95.0%** of PO lines in each calendar month, and an on-time-in-full (OTIF) rate — PO lines delivered both on time and complete in quantity — of at least **93.0%**. A PO line is on time if received at the named destination on or before its Scheduled Delivery Date; early delivery more than five (5) Business Days before the Scheduled Delivery Date requires the Buyer's consent and may be refused at the dock.

5.3 Quality Commitment

Delivered Products shall conform to the specifications in Schedule B with a defect rate not exceeding **1.5%** per delivery, measured by the Buyer's incoming inspection. If the defect rate of any Product exceeds **3.0%** across two consecutive months (an "Epidemic Failure"), the Supplier shall, at the Buyer's election, replace the affected population at its own cost and reimburse the Buyer's reasonable screening, rework, and recall costs.

5.4 Measurement & Reporting

The Supplier shall deliver a monthly performance report by the fifth (5th) Business Day of the following month covering On-Time Delivery Rate, OTIF, defect rates by Product, open corrective actions, and penalties accrued under Section 6, and shall attend a quarterly business review.

6. Late Delivery Penalties

6.1 Late Delivery Penalty

For each PO line constituting a Late Delivery, the Supplier shall pay the Buyer a penalty equal to **0.75% of the PO Value of that line for each commenced Late Week** (any period of seven calendar days, or part thereof, beginning the day after the Scheduled Delivery Date). A delay of one (1) day therefore incurs the same penalty as a delay of seven (7) days.

6.2 Penalty Cap

The aggregate penalty for any single PO line is capped at **8% of that line's PO Value**.

6.3 Cancellation and Cover

If a PO line remains undelivered **twenty-one (21) calendar days** after its Scheduled Delivery Date, the Buyer may cancel the line without liability and procure substitute goods from a third party, in which case the Supplier shall reimburse the Buyer **110% of the difference** between the cover price and the PO price, in addition to penalties accrued up to cancellation.

6.4 Worked Example

A PO line with a PO Value of \$20,000 is delivered ten (10) calendar days late: the delay spans two commenced Late Weeks, so the penalty is $2 \times 0.75\% = 1.5\%$ of \$20,000 = **\$300**. A delay of fifteen (15) weeks would compute to 11.25% but is capped at 8%, i.e. **\$1,600**.

6.5 Set-Off

The Buyer may set off accrued penalties against any amounts payable to the Supplier. Penalties for Late Delivery do not limit the Buyer's rights under Section 6.3, Section 5.3, or Section 10.

7. Invoicing & Payment

The Supplier shall invoice the Buyer upon delivery of each PO line, in US dollars, referencing the PO number, line number, and goods-receipt confirmation. Undisputed invoices are payable on **2/10 net 45** terms: the Buyer may deduct a **2% early-payment discount** if payment is made within ten (10) calendar days of the invoice date; otherwise the full undisputed amount is due within forty-five (45) days. The Buyer must raise invoice disputes within fifteen (15) calendar days of receipt. Late payments accrue interest at 1.0% per month on overdue undisputed amounts. Prices are fixed for the Initial Term per Schedule A; raw-material indexation applies thereafter per Section 4. The Supplier shall maintain electronic invoicing through the Buyer's procurement portal.

8. Liability & Indemnification

Meridian's aggregate liability under this Agreement, whether arising in contract, tort (including negligence), breach of statutory duty, or otherwise, shall not exceed five million US dollars (\$5,000,000) in the aggregate over the term of this Agreement. The foregoing cap does not apply to: (a) liability arising from gross negligence, willful misconduct, or fraud; (b) Meridian's indemnification obligations in respect of third-party claims for bodily injury, death, or damage to tangible property; (c) breaches of confidentiality; or (d) the Supplier's obligations for Epidemic Failure under Section 5.3 and product-liability claims arising from defective Products. Penalties under Section 6 are the Buyer's exclusive financial remedy for late delivery of conforming Products as such, but do not limit the Buyer's cover rights under Section 6.3, quality remedies under Section 5.3, or termination rights under Section 10. Neither Party is liable to the other for indirect, consequential, special, or punitive damages, or for loss of profit, revenue, or goodwill, except to the extent such damages fall within the carve-outs above. Meridian shall maintain, at its own cost, commercial general liability insurance of at least \$5,000,000 per occurrence including products liability, and statutory workers' compensation cover, and shall provide certificates of insurance to GlobalTrade upon request and at each renewal.

9. Force Majeure

Neither Party is liable for any failure or delay in performance caused by events beyond its reasonable control, including natural disasters, severe weather, epidemics, war, terrorism, civil unrest, acts of government, embargoes, port or airport closures, customs stoppages not attributable to documentation errors by the affected Party, national or industry-wide strikes (expressly excluding strikes limited to Meridian's own workforce), and widespread failures of public infrastructure, utilities, or telecommunications (each a "Force Majeure Event"). The affected Party must notify the other Party in writing within seven (7) calendar days of becoming aware of a Force Majeure Event, describing the event, the performance affected, and the estimated duration, and must use commercially reasonable efforts to mitigate its impact and resume performance. Service Level measurement under Section 5 is suspended for PO lines demonstrably affected by the Force Majeure Event, and no penalties or credits under Section 6 accrue with respect to such PO lines. If a Force Majeure Event continues for more than sixty (60) consecutive days, either Party may terminate this Agreement upon written notice without penalty, and the Buyer shall pay only for services performed and conforming goods delivered up to the effective date of termination.

10. Termination

Either Party may terminate this Agreement: (a) for material breach by the other Party that remains uncured thirty (30) days after written notice describing the breach in reasonable detail; (b) immediately upon written notice if the other Party becomes insolvent, files or has filed against it a petition in bankruptcy that is not dismissed within sixty (60) days, or makes a general assignment for the benefit of creditors; or (c) as provided in Section 9. GlobalTrade may additionally terminate this Agreement: (d) for convenience on ninety (90) days' written notice; and (e) for chronic Service Level failure, defined as an On-Time Delivery Rate below 95.0% or an OTIF rate below 93.0% in any three (3) calendar months within a rolling six (6)-month window, on thirty (30) days' written notice without any further cure period. Upon any termination or expiry, Meridian shall complete all PO lines in transit or accepted prior to the effective date of termination in accordance with this Agreement, shall return or destroy all Confidential Information of GlobalTrade, and shall cooperate in good faith in an orderly transition to a successor provider for up to sixty (60) days at the rates then in effect. Termination does not relieve either Party of obligations accrued before the effective date of termination, including penalties and service credits accrued under Section 6.

11. Governing Law & Dispute Resolution

This Agreement is governed by and construed in accordance with the laws of the State of Delaware, USA, without regard to its conflict-of-laws principles. The state and federal courts located in Wilmington, Delaware have exclusive jurisdiction over any dispute arising out of or in connection with this Agreement, and each Party irrevocably submits to that jurisdiction. Before initiating any proceeding, the Parties shall escalate the dispute first to their respective account managers and, failing resolution within fifteen (15) Business Days, to a senior executive of each Party; only if the dispute remains unresolved thirty (30) days after escalation to executives may a proceeding be initiated. Nothing in this Section prevents either Party from seeking interim injunctive relief to protect its Confidential Information or intellectual property.

12. Miscellaneous

This Agreement, together with its Schedules and any executed amendments, constitutes the entire agreement between the Parties with respect to its subject matter. Amendments must be in writing and signed by authorized representatives of both Parties. Neither Party may assign this Agreement without the other Party's prior written consent, except to an affiliate or in connection with a merger, acquisition, or sale of substantially all of its assets, with written notice to the other Party. Meridian shall not subcontract the manufacture of any Product to a facility not listed in Schedule A without GlobalTrade's prior written approval, and remains fully liable for the acts and omissions of any approved subcontractor as if they were its own. All notices must be in writing and delivered to the addresses stated in Section 1 by courier or by email with delivery confirmation. If any provision of this Agreement is held invalid or unenforceable, the remaining provisions remain in full force and effect. No waiver of any provision is effective unless made in writing; the failure of either Party to enforce any provision is not a waiver of its right to do so later.